

Baller Engineers Falling into Precarity

USA West

The Premise

While the top US tech companies are still financially healthy the heyday for the average bay area tech worker at mid career and entry level has gone from baller to precarious.

Entry level workers who used to get signing bonuses and good benefits are more likely now to be a contract employee at the same company with no benefits and a need for renewal every 6months. Mid tier level have increased internal programming tests and built in lay-off cycles. And seed funding for anything other than core AI engineering needs tangible proof of return before getting funded.

Why is this important?

CS is no longer a secure major.

Upper middle-class people in CA are increasing living off stock options and not having children.

Large funding at very amazing bonuses were given to an elite group, now astronomical bonuses and funding are given to an even smaller pool of the population and those are in the AI space. **The disparity of wealth is increasing even here, in the inner nexus gold mine of tech.**

Junior hiring effectively froze. CS graduates' unemployment rate hit ~6% in 2024 higher than the overall college-grad average for the first time since tracking began. - Hired's 2023 State of Software Engineers Report:

Meta's "low performer" cuts of February 2025 (~3,600 employees) hit managers disproportionately.

Equity-driven income at a handful of "Magnificent Seven" stocks now drives roughly **10% of all California income-tax withholding**

What is the core conflict / opportunity?

If the average American retirement fun, the general US economy, and even the laid off workers of these companies rely on the stock success for their livelihood, where does that place our loyalty? Will the bets these companies/investors are making on laying off Engineers, and ignoring non-AI projects pay off in the long-term? How will workforce skills shift and where will these CS majors go? **What will the formerly elite high middle class do with their new forced leisure?**

Key statistics / quotes

Full stack engineer with Advanced Math and CS degrees from top universities. “It is bad to say but I used to easily get laid after I told women my job title, now they are like ‘oh you are an engineer, are you worried about getting laid off.’ It is crazy to think this thing I worked hard my whole life to learn might just be gone. Luckily, I made so much money on stock options from my last job.”

Engineering manager who quit 4 jobs in the last decade because he felt like it and used to receive gifts in the mail to go back to work, “ I studied hard. There were so many rounds of interviews. I didn’t think I was going to get it. My job is basically to have my engineers train AI to do their jobs. And this is the metrics for my performance review.”

Designer on a low code/no code internal enterprise tool “My whole team was cut even though we made money and competitors used our tool. If we were a small company, we would have stayed in business but they want all the engineers working on AI. I think I will be unemployed for a while. I didn’t make money on my income really. I paid off the condo with stock options and bitcoin from 2017.”

Why did the studio pick this one?

Magnificent 7 are the seven dominant, high-performing U.S. technology and growth companies that have significantly outpaced the broader stock market. They also have massive operational footprints and thousands of employees in the Bay Area and have far reaching global implications for the nature and meaning of work and AI. In general, the team felt there is an uneasiness of the future of life and work.

In your roles within Song and DDP, how does it impact your work or your clients?

No comment